

**Time:** 5 minutes**Outcome:** Use a budget constraint and preferences to identify the best affordable bundle.**Difficulty:** ●●○ Intermediate

Consumer Choice



THE CORE IDEA

A budget constraint shows affordable bundles at given income and prices. Its intercepts show the most of either good a consumer can buy. An indifference curve connects bundles the consumer ranks equally. The best affordable bundle reaches the highest available preference level; in this example, its curve just touches the budget line.



HOW TO RECOGNIZE IT

- Bundles inside or on the budget line are feasible; bundles outside it are infeasible.
- An income change shifts the line in parallel when prices are fixed.
- A change in one price pivots the line around the unchanged intercept.
- Compare the highest preference curve that can be reached without exceeding the budget.



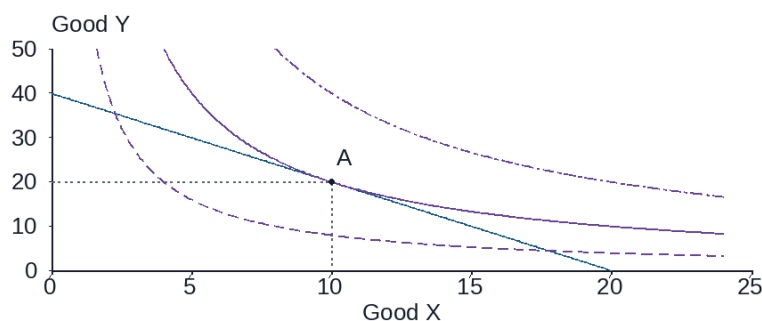
WATCH OUT

Spending the whole budget is not enough to prove optimality. The chosen bundle must also provide the highest attainable preference ranking.



WORKED EXAMPLE: BEST AFFORDABLE BUNDLE

— Budget — IC1 — IC2 — IC3



The budget line reaches 20 units of X or 40 units of Y, so its slope is -2 . Bundle A contains 10 units of X and 20 of Y. At A, the budget line is tangent to IC2, the highest attainable indifference curve. IC3 is preferred but lies outside the feasible set, while IC1 is attainable but provides a lower ranking.



CHECK YOURSELF

If only the price of Y falls, does the budget line shift in parallel or pivot?

**READY?**

Return to the game and master this concept.